

Subject Description Form

Subject Code	SFT6000S
Subject Title	Organizational Management and Decision Theories in Business Research
Credit Value	3
Level	6
Pre-requisite/ Co-requisite/ Exclusion	Nil
Objectives	Business research, including those in fashion business contexts, has increasingly focused on the theoretical foundations and contributions. Therefore, it is vital for the research students to be well equipped with the essential knowledge and skills of major organizational management and decision theories used in the business research. Specifically, this subject will emphasize on the theories including: 1) Resource-based theory; 2) Resource dependence theory; 3) Transaction cost economics; 4) Institutional theory; 5) Behavioral theory of firms; 6) Prospect theory; 7) Agency theory. After attending this subject, the students will be able to understand, evaluate, apply and develop the theories in reading literature and developing research topics.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. Comprehend the premises and development of the theories relating to organizational management and decision makings. b. Analyze and evaluate the use of the theories in the literature of business research. c. Apply the theories to develop research ideas, frameworks, and proposals. d. Demonstrate the capability to advance the theories through business research proposal development, especially those related to the context of fashion and textiles sectors.
Subject Synopsis/ Indicative Syllabus	a. Introduction of essential concepts The foundation and essential concepts and roles in developing a business research topic, especially in fashion and textiles contexts, will be introduced. Students will be able to justify the use of appropriate theories in their research topic. b. Theories in organizational resources The resource-based theory and resource dependence theory both focus on the organizational resources. This subject will first discuss resource-based theory and its relevant perspectives (e.g., dynamic capability, knowledge-based view, and process-based theory). Students will be able to comprehend the foundation concept of organizational resource and its linkage with firm competitive advantage.

	Then, the resource dependence theory and its relevant perspectives (e.g., buyer-supplier relationship and social capital) will be discussed. Students will be able to understand the importance of absorbing environmental resources for firms to reduce uncertainty. c. Institutional perspectives in economics and sociology Both economists and sociologists consider that institutions can affect firm operations, while they focus on different perspectives. This subject will first discuss transaction cost economics from the new institutional economics perspective. The relevant perspectives including complexity, risk and opportunism will also be included. Students will be able to explain why firms exist, and the complexity and risks in the global supply chain. Then, the sociological view on institutionalism (i.e., institutional theory) will be discussed. The relevant perspectives including isomorphism, institutional pressures and institutional void will also be included. Students will be able to explain the motivation of management practices adoption and diffusion of innovations. d. Theories in organizational decision making Conventionally, organizational decision making was explained based on the rational man assumption. However, a behavioral perspective would consider that organizational decision making is bounded rational. This subject will introduce behavioral theory of firms and prospect theory to discuss how framing could affect organizational decision making. In addition, agency theory will also be introduced to discuss how interest divergence and information asymmetry could affect the organizational and managerial decision making. e. Applying theories in proposal development Research proposal development is essential for research student to apply for research funding support and develop manuscript for submission to academic journals. The structure and key elements of a research proposal will be introduced. Students will be able to apply the theories discussed in this subject to develop a high-quality research proposal particularly in the fashion business area.
Teaching/Learning Methodology	The intended learning outcomes are achieved through lectures, workshops, seminars, and self-learning components. The foundation theoretical concepts are discussed in lectures with elaboration of business research published in prestigious academic journals. The research topic and proposal development skills are introduced in the workshops. Students will further comprehend the knowledge in seminar discussion through sharing their analyses of the literature. Student's learning outcomes will be assessed through feedbacks including class participations, literature analysis reports and research proposal development. Specifically, the class participation includes class discussion, sharing and presentation of research ideas. The literature analysis reports assess the students' capability to comprehend the development and applications of the theories in the business research literature. The research development proposal requires students to develop a feasible research plan with theoretical contributions well justified.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	1. Class participation	30%	✓	✓	✓	✓		
	2. Literature analysis reports	30%	✓	✓	✓			
	3. Research proposal development	40%	✓	✓	✓	✓		
	Total	100 %						
	The materials submitted for these assessments must be the student’s own work. The submitted work may not be accepted for the purpose of assessment if its authenticity is questionable. Submitting GenAI-generated materials as students’ own work or part of their work is an act of academic dishonesty. Students who are found committing academic dishonesty will face disciplinary actions.							
Student Study Effort Expected	Class contact:							
	▪ Lectures						21 Hrs.	
	▪ Workshops						6 Hrs.	
	▪ Seminars						12 Hrs.	
	Other student study effort:							
	▪ Reviews of lecture contents						26 Hrs.	
	▪ Assignments						50 Hrs.	
	Total student study effort						115 Hrs.	
Reading List and References	Resource-based theory:							
	Barney, J. (1991). Firm resources and sustained competitive advantage. <i>Journal of management</i> , 17(1), 99-120. Hitt, M. A., Xu, K., & Carnes, C. M. (2016). Resource based theory in operations management research. <i>Journal of operations management</i> , 41, 77-94.							

	Resource dependence theory: Pfeffer, J., & Salancik, G. R. (1978). The external control of organizations: A resource dependence perspective. New York: Harper & Row. Hillman, A. J., Withers, M. C., & Collins, B. J. (2009). Resource dependence theory: A review. <i>Journal of management</i>, 35(6), 1404-1427. Transaction cost economics: Coase, R. H. (1937). The nature of the firm. <i>economica</i>, 4(16), 386-405. Williamson, O. E. (2008). Outsourcing: Transaction cost economics and supply chain management. <i>Journal of supply chain management</i>, 44(2), 5-16. Institutional theory: DiMaggio, P. J., & Powell, W. W. (1983). The iron cage revisited: Institutional isomorphism and collective rationality in organizational fields. <i>American sociological review</i>, 147-160. Kauppi, K. (2013). Extending the use of institutional theory in operations and supply chain management research: Review and research suggestions. <i>International Journal of Operations & Production Management</i>. 33(10). 1318-1345. Behavioral theory of firms: Cyert, R. M., & March, J. G. (1963). <i>A behavioral theory of the firm</i>. New Jersey: Wiley-Blackwell. Gavetti, G., Greve, H. R., Levinthal, D. A., & Ocasio, W. (2012). The behavioral theory of the firm: Assessment and prospects. <i>Academy of Management Annals</i>, 6(1), 1-40. Prospect theory: Tversky, A., & Kahneman, D. (1981). The framing of decisions and the psychology of choice. <i>Science</i>, 211, 453-458. Holmes Jr, R. M., Bromiley, P., Devers, C. E., Holcomb, T. R., & McGuire, J. B. (2011). Management theory applications of prospect theory: Accomplishments, challenges, and opportunities. <i>Journal of Management</i>, 37(4), 1069-1107. Agency theory: Eisenhardt, K. M. (1989). Agency theory: An assessment and review. <i>Academy of management review</i>, 14(1), 57-74. Fayezi, S., O'Loughlin, A., & Zutshi, A. (2012). Agency theory and supply chain management: a structured literature review. <i>Supply chain management: an international journal</i>. 17(5), 556-570.
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